Strategic Trading Analysis

Based on the detailed "Stock Detailed Analysis Report" provided for **HCLTECH.NS** (dated 2026-02-21), here is my evaluation as a positional equity trader.

Step 1: Audit the Data

* **Data Present:**
  * Daily & Weekly Price Charts with Candlestick analysis.
  * Moving Averages (EMA 20, 50, 200).
  * Momentum Indicators (RSI, MACD).
  * Volatility Indicators (Bollinger Bands, ATR, Squeeze analysis).
  * Trend Indicators (Supertrend, Relative Strength vs. CNXIT).
  * Fundamental Analysis (Revenue, Net Income, ROE).
  * Volume Analysis (Accumulation/Distribution signals).
* **Data Missing:**
  * Fibonacci Retracement levels (useful for finding support in a downtrend).
  * Detailed Option Chain data (for analyzing open interest support).
* **Confidence Level:** **High**.
  * *Explanation:* The report is exhaustive, covering trend, momentum, volatility, and fundamentals. The generated date is in the future (2026), but I am analyzing the technical setup as presented in this simulated environment.

Step 2: Analyze the Setup

* **Price Structure & Trend:** The trend is **<font color='#c0392b'>Bearish</font>**. The stock is trading at INR 1436.50, which is significantly below the 200-day EMA (INR 1573). A stock trading below its 200 EMA is technically in a long-term downtrend, making long positions high-risk.
* **Moving Averages:** The EMAs are stacked in a bearish formation (Price < 20 < 50 < 200). The "Golden Cross" attempt in late 2025 failed, and the stock has since collapsed.
* **Momentum:**
  * **RSI:** Currently at 24.68 (Oversold). This suggests a bounce is mathematically probable, but oversold conditions can persist in strong downtrends.
  * **MACD:** Deeply negative and below the signal line (<font color='#c0392b'>Bearish</font>).
  * **Supertrend:** All timeframes (Weekly, Daily, 15m) are in a confirmed **<font color='#c0392b'>Downtrend</font> (Sell)** status.
* **Volume & Signals:**
  * The volume analysis notes "Selling Exhaustion (<font color='#27ae60'>Bullish</font> Div)" on 2026-02-20. This is the only constructive signal, suggesting the panic selling may be peaking.
  * Relative Strength is weak (Score 52/100) and lagging the IT sector.
* **Confluence:** There is currently **no confluence** for a long entry. While the stock is oversold, price action has not confirmed a floor. The "falling knife" scenario is in play until a key resistance is reclaimed.

Step 3: Formulate the Recommendation

Decision: <font color='#c0392b'>NO</font> (Do not enter this trade immediately).

Rationale: The stock has violated the critical 200-day EMA support. Entering now is "bottom fishing" rather than positional trading. The probability of a "Dead Cat Bounce" (a short rally followed by lower lows) is high. As a risk-averse trader, we need to see buyers regain control of the short-term trend before committing capital.

Conditional Plan (Watchlist):
Since the stock is oversold and showing volume exhaustion, a reversal setup may form soon. Here is the plan to enter *only if* strength returns:

* **Condition to Buy:** Wait for the price to close above the **20-day EMA (currently ~INR 1549)**. This confirms that short-term momentum has shifted from bearish to bullish. Alternatively, aggressive traders could wait for a **<font color='#27ae60'>Bullish</font> MACD Crossover** on the Daily chart while price holds above INR 1400.
* **Entry Price:** **INR 1555** (Hypothetical trigger level above the 20 EMA resistance).
* **<font color='#c0392b'>Stop Loss</font>:** **INR 1430** (Recent swing lows; protects against trend continuation).
* **<font color='#27ae60'>Take Profit</font>:** **INR 1750** (Previous swing high and confluence with Upper Bollinger Band).

Risk Note: Until HCLTECH.NS reclaims INR 1573 (200 EMA), any rally should be viewed as a relief rally within a downtrend. Keep position sizing smaller than usual.

Candlestick Classification Analysis
Based on the **Candlestick Classification Analysis** provided in the report (specifically Pages 20 and 21), here is my assessment as a Seasoned Candlestick Trader.

Executive Summary: <font color='#c0392b'>Bearish</font> Consolidation (Sellers in Charge)

The price action for **HCLTECH.NS** indicates a market currently dominated by sellers, though currently pausing for breath. The absence of "Buyer Strong Control" candles suggests that institutional demand is currently weak, and the path of least resistance remains downward.

Detailed Price Action Breakdown

1. Current Classification: "No Control" (Score: 0)
* **The Signal:** The latest trading session ended with a **No Control** classification.
* **Interpretation:** According to the algorithm, this implies a "Small body (<0.5 ATR), long wicks, or indecision patterns."
* **Context:** In a strong downtrend (which the chart clearly shows from the 1700s down to 1436), a "No Control" candle usually represents a **continuation pattern** rather than a reversal. It means sellers took a break, but buyers lacked the conviction to stage a counter-attack. The volatility has contracted temporarily.

2. Recent Trend Score: -0.30 (Negative Bias)
* **The Metric:** The 10-day average score is **-0.30**.
* **What this tells us:** Since the scale runs from -2 (Strong Seller) to +2 (Strong Buyer), a negative score confirms that over the last two weeks, the average closing position has been lower than the open, and sellers have controlled the majority of the sessions.
* **Lack of Reversal:** For a turnaround, we would need to see this moving average cross into positive territory, driven by candles with scores of +1 or +2.

3. Chart Visual Analysis (Page 21)
* **Seller Dominance (Red Candles):** Looking at the right side of the chart (Jan-Feb 2026), there is a distinct cluster of **Seller Control (-1)** and **Seller Strong Control (-2)** candles (Red bars). These are characterized by large bearish bodies closing near their lows.
* **Volume Validation (Step 4 of Logic):** The volume bars (bottom panel) corresponding to the red candles appear higher than the volume on the grey/green candles.
  * *Logic Check:* "High volume (>1.3x avg) ? multiply by 1.2."

* *Result:* The selling legs have institutional participation (high conviction), while the pauses have low participation (lack of conviction).
* **Failed Recoveries:** There are sporadic Green (Buyer Control) candles, but they lack follow-through. They are immediately engulfed by subsequent Red candles, indicating that every small rally is being sold into ("Dead Cat Bounces").

Future Price Prediction

Direction: Downward / <font color='#c0392b'>Bearish</font> Continuation

Based on the algorithm's logic, the probability favors a move **Lower**.

1. **Why?** The "No Control" status at the bottom of a sharp move is dangerous. It suggests the market is "catching its breath" before the next leg down.
2. **The Trigger:** Watch for the low of the current "No Control" candle to be broken. If the price drops below the recent low (approx 1436), it will likely trigger a **Seller Strong Control (-2)** candle, accelerating the move down.
3. **The Reversal Condition (Unlikely):** To flip this view, we need a **Buyer Strong Control (+2)** candle.
   * *Requirements:* A large green body (>1.5 ATR), closing near the high, with Volume >1.3x average.
   * *Current Status:* There is zero evidence of this on the chart right now.

Trader's Verdict:
The chart shows a classic **"Falling Knife"** scenario. The current "No Control" signal is merely a pause in selling pressure. Without a "Volume Multiplier" confirmed bullish entry (Green +2), entering here is catching a falling knife. Expect the price to test lower support levels.

News & Analyst Targets
The following research report on **HCL Technologies (HCLTECH)** covers the latest news, brokerage updates, and analyst targets as of **February 21, 2026**.

1. Latest News for HCLTECH (Feb 15 - Feb 21, 2026)
The week has been active for HCL Technologies with major product launches, acquisitions, and volatility driven by sector-wide AI sentiment.

* **Launch of VisionX 2.0 with NVIDIA (Feb 20):** HCLTech unveiled **VisionX 2.0**, an upgraded multi-modal AI edge platform developed in collaboration with NVIDIA. The platform is designed to enhance real-time intelligence, safety, and operational efficiency in industrial environments (manufacturing, energy, infrastructure) by processing data directly at the edge rather than the cloud.
* **Acquisition of "Wobby" Completed (Feb 20):** HCLSoftware, the company's software division, completed the acquisition of **Wobby**, an AI-based data analyst agent startup. This move is aimed at strengthening HCL's capabilities in AI-driven data analysis and business intelligence.
* **Stock Price Volatility & Recovery (Feb 16-20):**
   * **Early Week Slump:** The stock faced pressure earlier in the week (hitting lows around INR 1,450) due to broader fears that Generative AI could disrupt the traditional IT services business model ("Kodak moment" fears).
   * **Mid-Week Rebound:** Shares recovered significantly starting Feb 18-19, tracking a sector-wide rally after the **India AI Impact Summit**. Positive commentary from industry leaders and new AI deals (like Infosys-Anthropic) helped ease investor concerns, shifting the narrative from "AI as a threat" to "AI as a growth driver."
* **Strategic Shift to IP-Led Growth (Feb 19):** At the AI Impact Summit, Chairperson Roshni Nadar Malhotra emphasized that the Indian IT sector must transition from a "services-led" model to an "IP-led" (Intellectual Property) nation to capture value in the AI economy.
* **Upcoming Investor Event (Feb 23-25):** HCLTech announced it will participate in the **Jefferies Mumbai NDR Corporate Roadshow** scheduled for early next week, which may act as a trigger for further stock movement.

2. Brokerage Upgrades & Downgrades
Analyst sentiment this week has been mixed, with some cautious notes emerging due to near-term valuation and growth concerns, while long-term bulls remain intact.

* **JM Financial (Target Cut):** On **Feb 18, 2026**, domestic brokerage JM Financial maintained its **'Add'** rating but **cut the target price** to **INR 1,570** (from INR 1,770). They cited a "dual blow" of macroeconomic slowdowns and AI-driven deflationary risks for the sector.
* **MarketsMojo (Downgrade):** Earlier in the month (Feb 10), the research firm downgraded HCLTECH to **'Hold'** (from Buy), citing expensive valuations and a shift in technical momentum.
* **Nomura (Commentary):** On **Feb 17, 2026**, Nomura issued a note on the Indian IT sector, calling the recent sell-off a "knee-jerk reaction." They argue that valuations are becoming attractive and that cash flows remain strong, implying they are sticking to their constructive stance (Target ~INR 1,810).

3. Indirect News Impacting HCLTECH
* **Nifty IT Index Volatility:** The Nifty IT index saw a sharp correction of ~8-9% over the last two weeks before stabilizing. HCLTECH, being a heavyweight, mirrored this trend.
* **Currency Movements:** Recent fluctuations in the USD/INR exchange rate continue to be a key monitorable, as HCLTECH derives a significant portion of its revenue in USD.
* **Sector-Wide "AI Anxiety":** A report by Kotak Institutional Equities earlier in the week discussed the "narrative war" around GenAI, warning of potential revenue deflation. This sparked the initial sell-off in HCLTECH and its peers (TCS, Infosys) before the recovery.

4. Latest Analyst Targets for HCLTECH
The table below summarizes the most recent price targets from major brokerages. Note the divergence between the bullish views from Jan/Feb and the more recent cautious cuts.

Brokerage Firm	Rating	Target Price (INR)	Date/Status
Axis Direct	**Buy**	**1,860**	Feb 01, 2026
Nomura	**Buy**	**1,810**	*Reiterated view in mid-Feb note*
Jefferies	**Buy**	**1,885**	Jan 14, 2026 (Roadshow upcoming)
Motilal Oswal	**Buy**	**2,000**	Jan 13, 2026
CLSA	**Hold**	**1,692**	Jan 02, 2026
Kotak Inst. Equities	**Reduce**	**1,680**	Jan 12, 2026
JM Financial	**Add**	**1,570**	**Feb 18, 2026 (Latest Update)**
ICICI Securities	**Reduce**	**1,390**	Jan 13, 2026
MarketsMojo	**Hold**	**N/A**	Downgraded Feb 10, 2026

Analyst Consensus: The community is currently divided. While long-term targets from January (post-Q3 results) remain high (INR 1,800+), the **most recent updates from February reflect caution**, with targets moving lower towards the INR 1,550 - INR 1,650 range due to AI disruption fears.

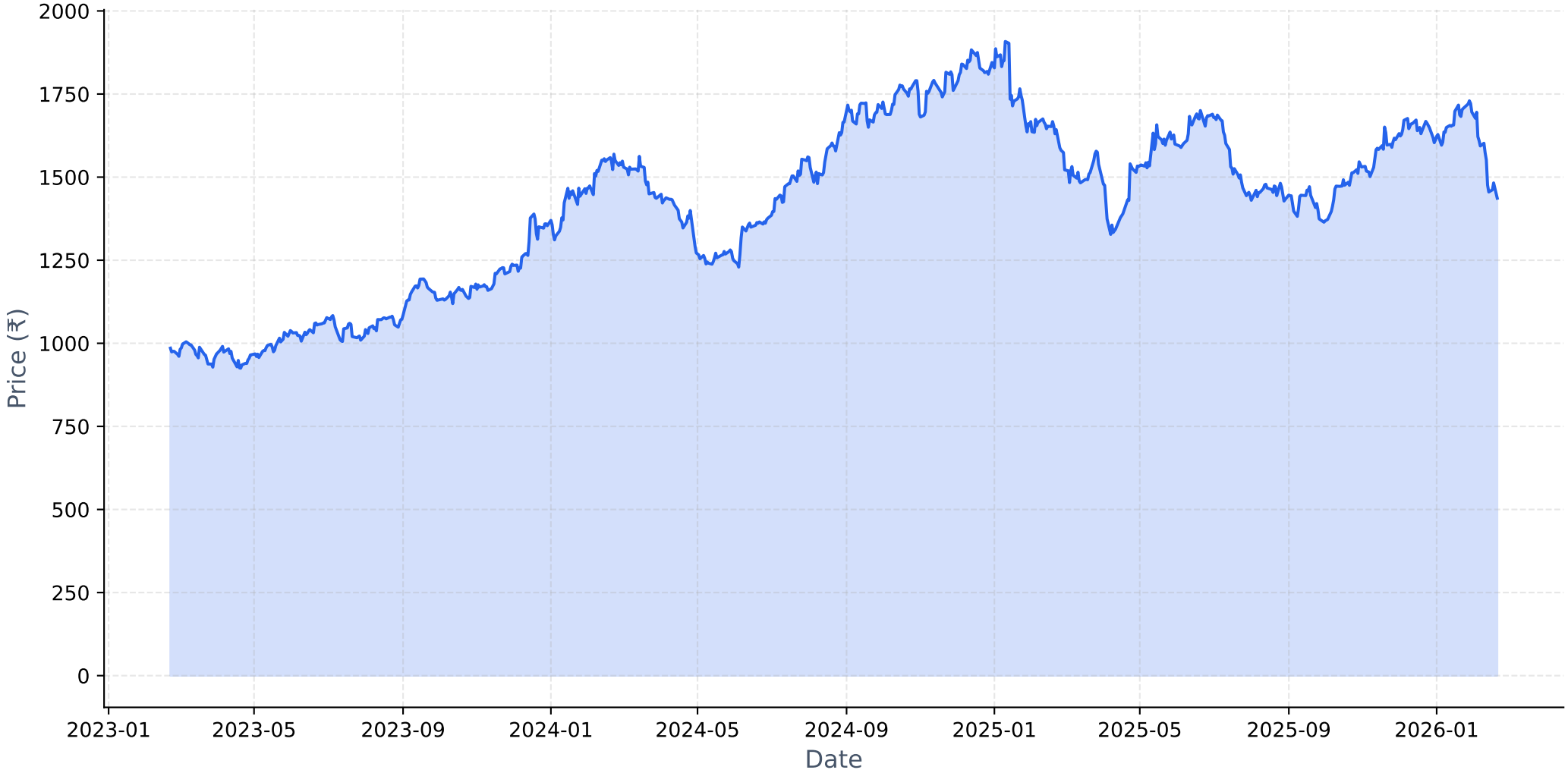
Stock Detailed Analysis Report

HCLTECH.NS

Current Price: ₹1436.50

Generated: 2026-02-21 09:22

HCLTECH.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	6.50%	10.97%
Net Income	Yes	Yes	10.75%	8.81%
ROE	Yes	Yes	8.54%	4.62%
EPS	Yes	Yes	10.64%	8.83%

Short-term Fundamental Analysis (6 Quarters)

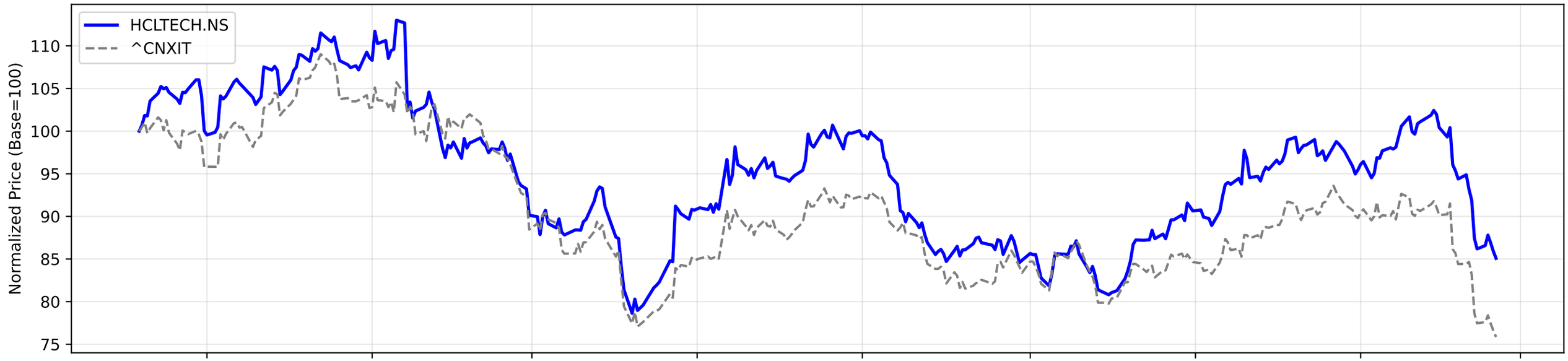
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	0.34%	1.70%
Net Income	No	-10.77%	-2.85%
ROE	Yes	0.56%	0.56%
EPS	Yes	8.45%	8.45%

HCLTECH.NS - Relative Strength Analysis

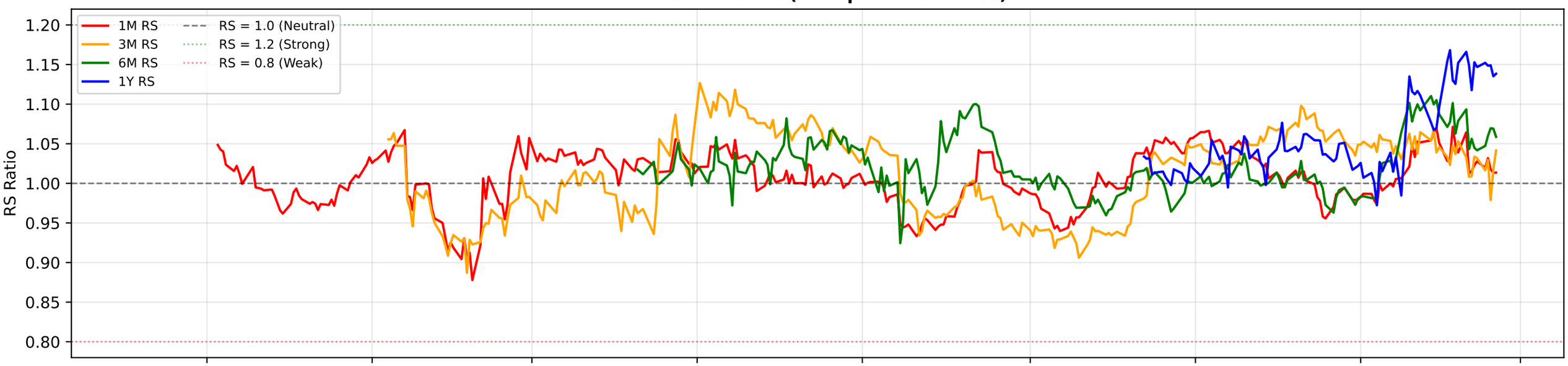
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXIT
Sector:	IT
Classification:	**Weakening Leader**
RS Score:	52.6/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.014 [Leader]**
3M RS:	**1.041 [Leader]**
6M RS:	**1.059 [Leader]**
1Y RS:	**1.138 [Leader]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ Emerging RS:	**Not accelerating**
✗ Medium-term Lagging:	**Not lagging**
✗ Performance Improving:	**Not improving**

Relative Strength Analysis: HCLTECH.NS vs ^CNXIT
Classification: Weakening Leader

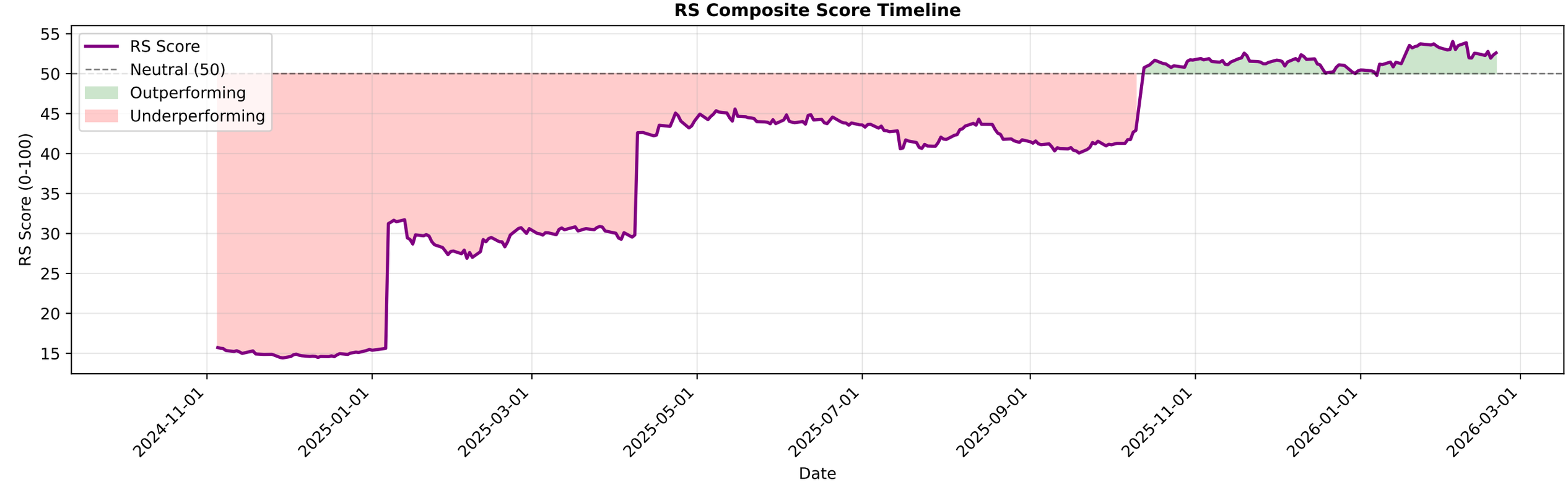
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

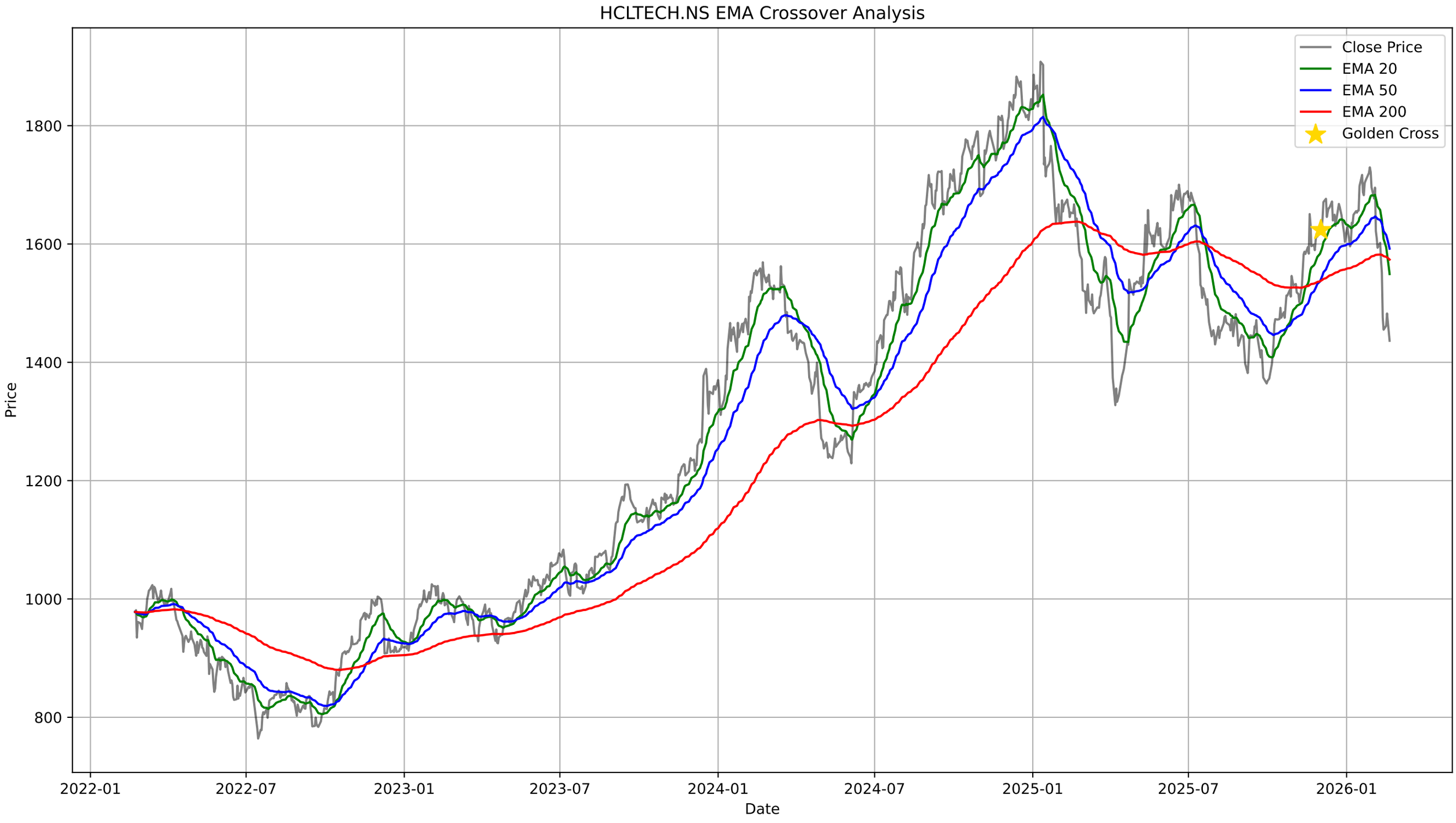


RS Composite Score Timeline



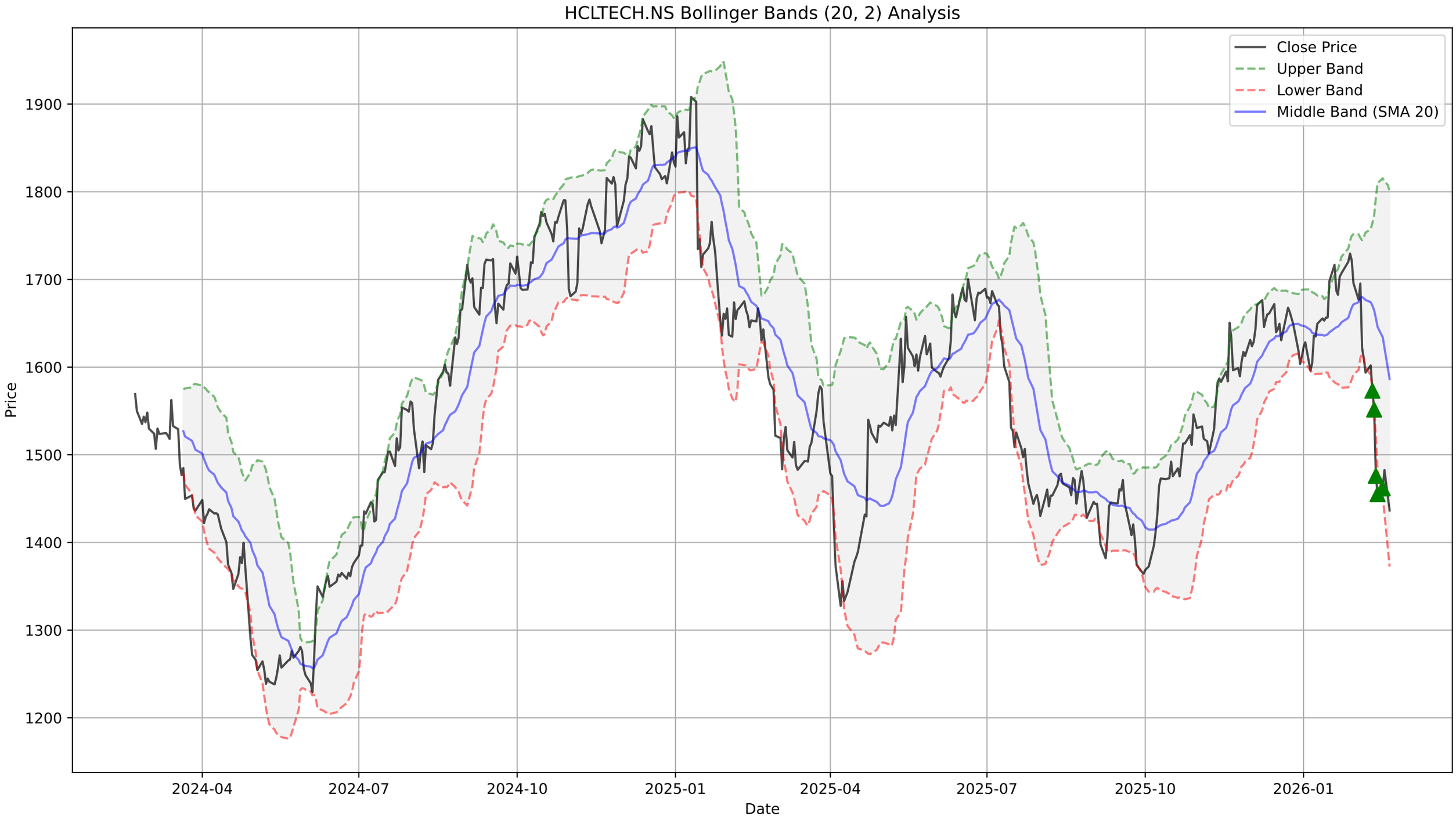
HCLTECH.NS - EMA Crossover Summary

EMA 20:	1549.23
EMA 50:	1592.16
EMA 200:	1573.66
Trend Status:	**Short-term Downtrend**
Golden Cross Date:	2025-12-02 00:00:00+05:30
Golden Cross Price:	1623.74


HCLTECH.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
1800
1600
1400
1200
1000
800
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

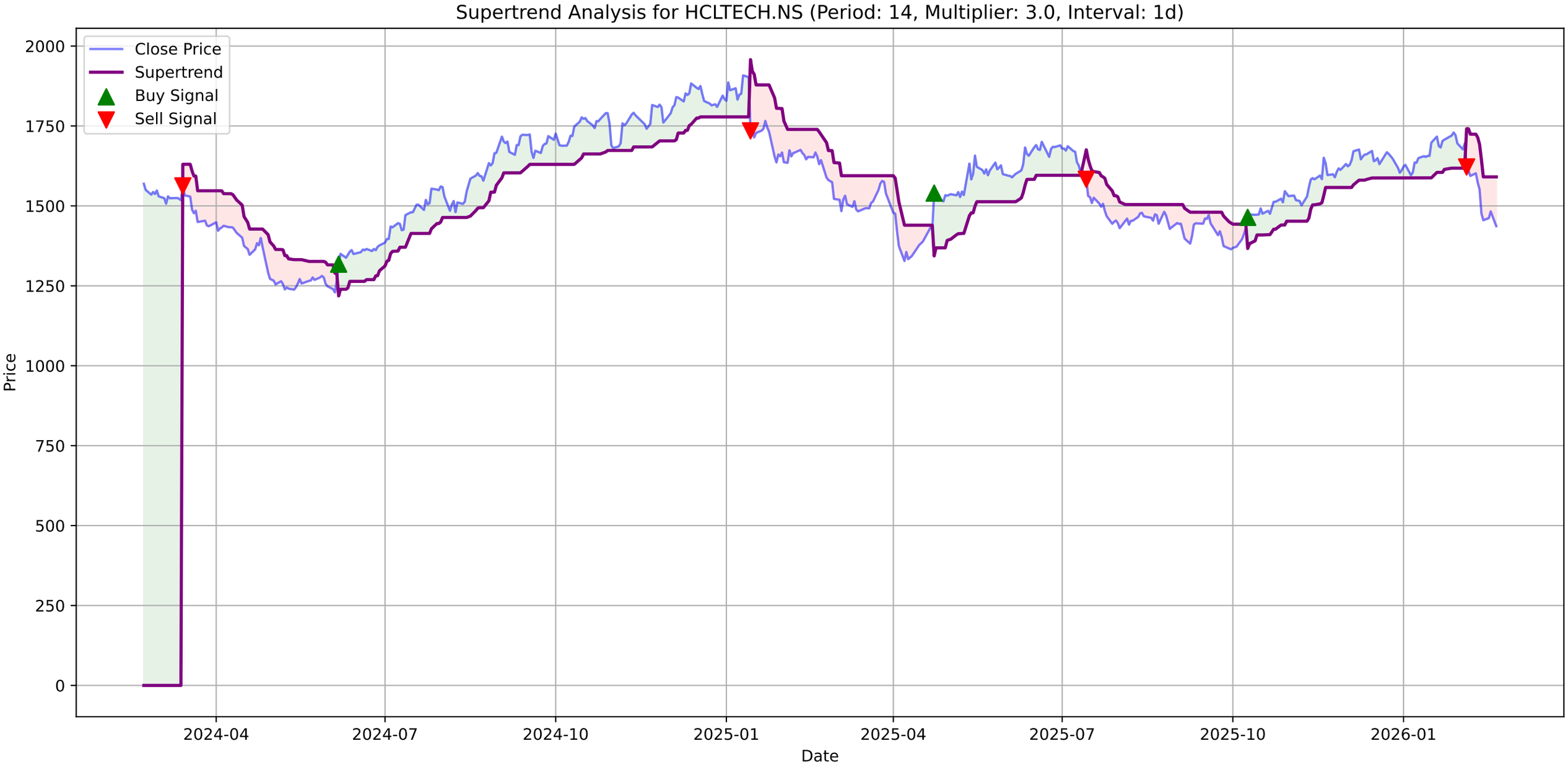
HCLTECH.NS - Bollinger Bands Summary

Current Price:	1436.50
Upper Band:	1800.41
Middle Band (SMA 20):	1586.40
Lower Band:	1372.40
%B:	0.1498
Band Width:	0.2698
Status:	Lower Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-02-12 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-02-13 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-02-16 00:00:00+05:30**


HCLTECH.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
1900
1800
1700
1600
1500
1400
1300
1200
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

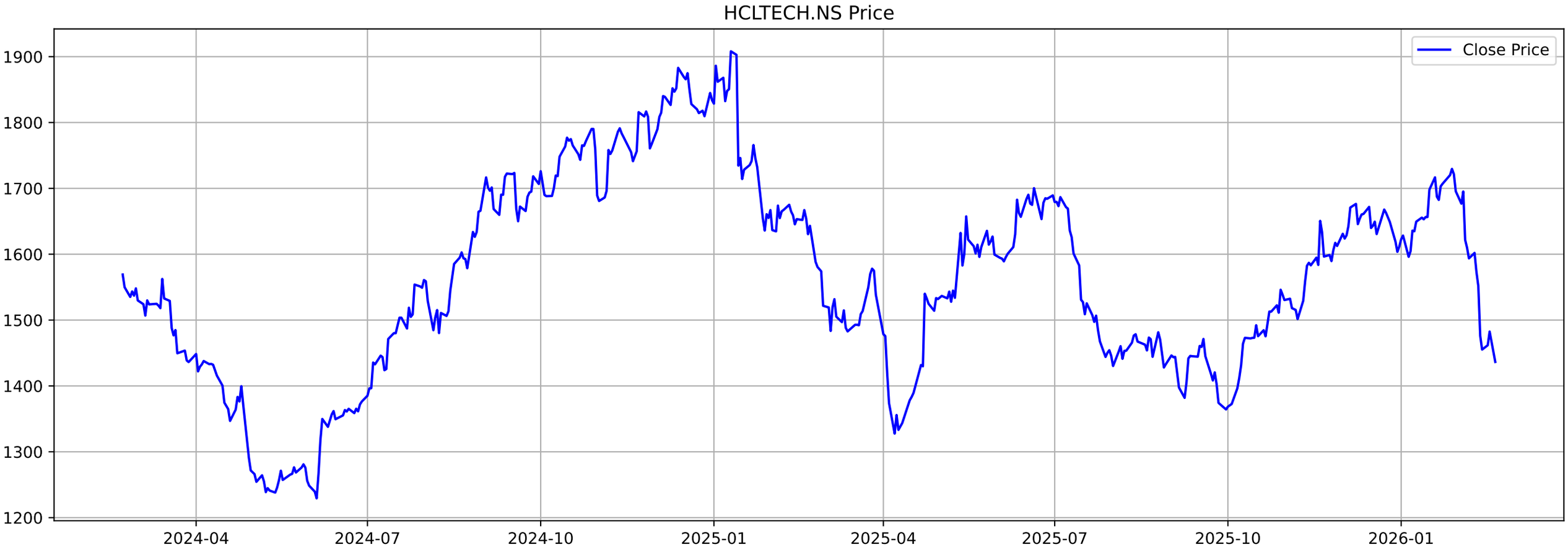
HCLTECH.NS - Supertrend Summary

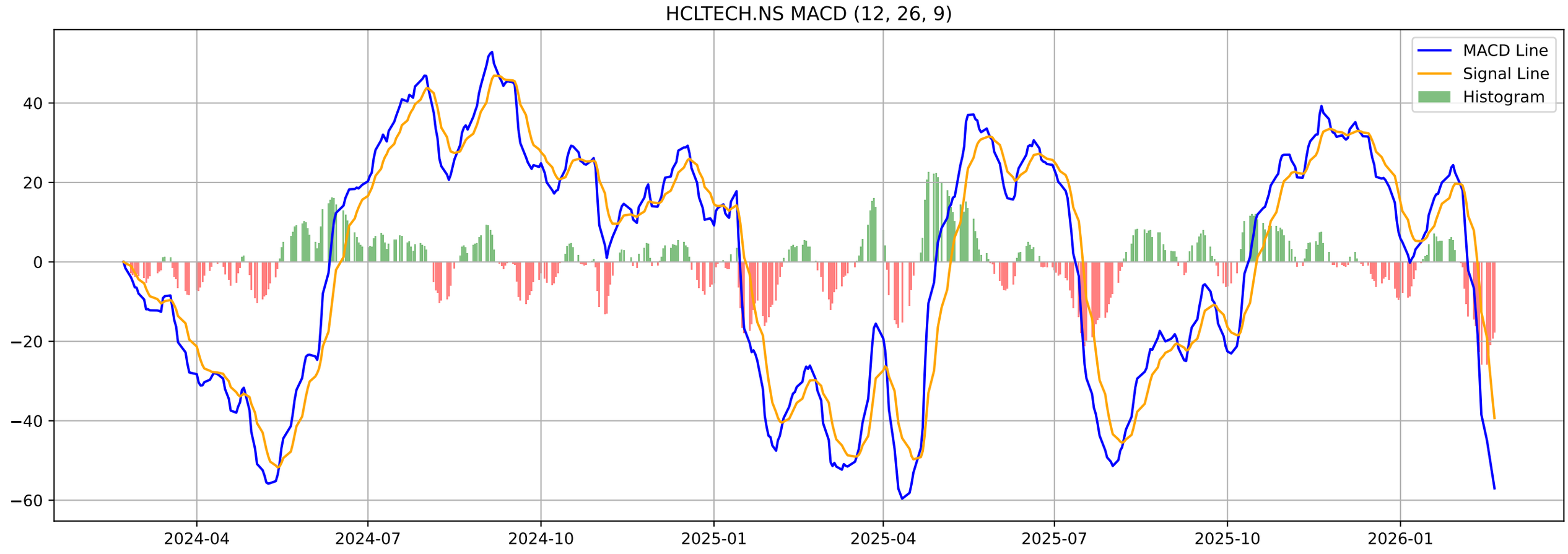
Status:	**DOWNTREND (Sell)**
Supertrend Value:	1590.75
Signal Identified On:	2026-02-04


Supertrend Analysis for HCLTECH.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
2000
1750
1500
1250
1000
750
500
250
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

HCLTECH.NS - MACD Summary

MACD Line:	-57.02
Signal Line:	-39.33
Histogram:	-17.69
Trend:	**Bearish**
Momentum:	**Weakening**
Signal:	None

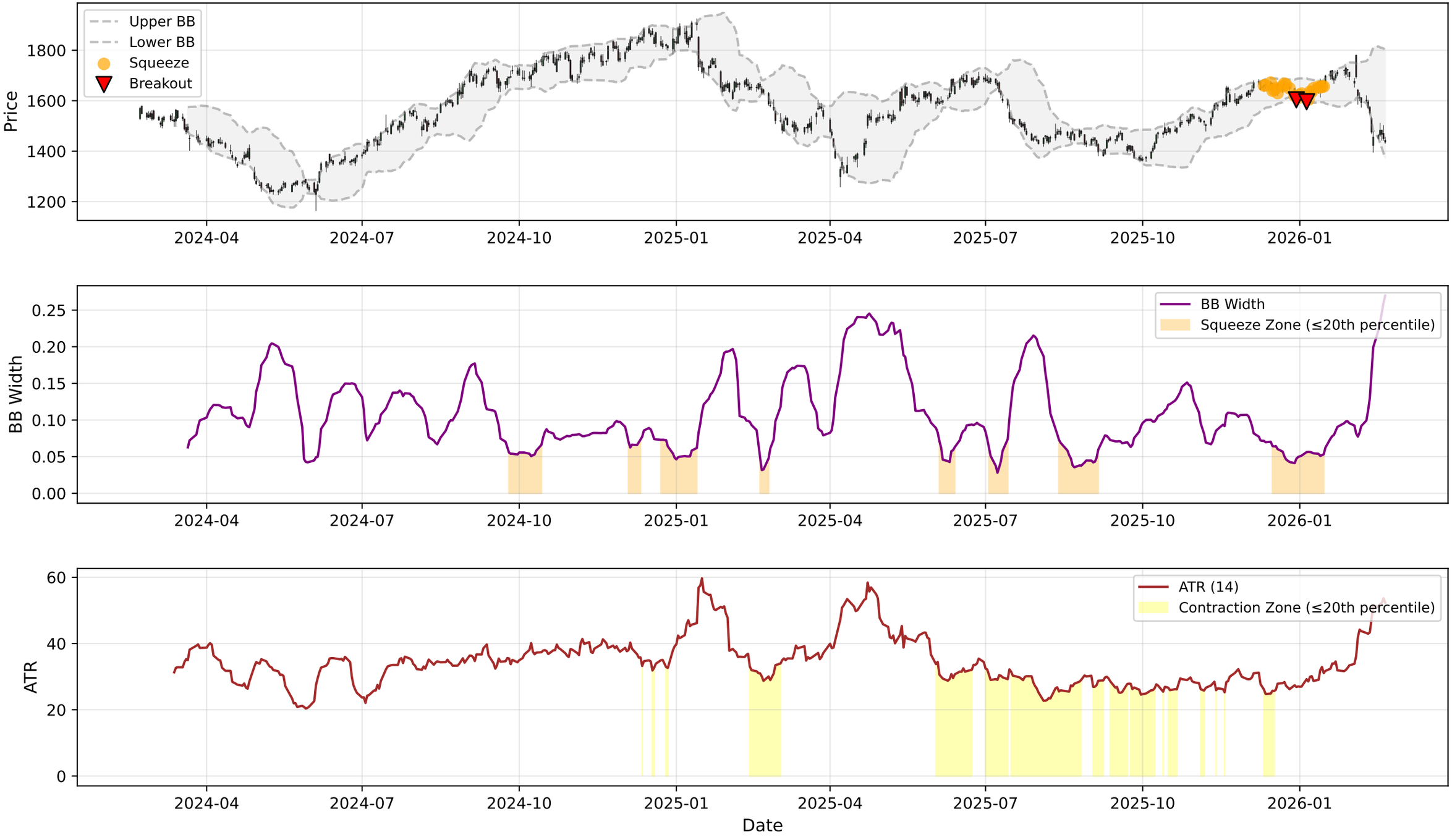

HCLTECH.NS Price
Close Price
1900
1800
1700
1600
1500
1400
1300
1200
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


HCLTECH.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
40
20
0
−20
−40
−60
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

HCLTECH.NS - Volatility Squeeze Summary

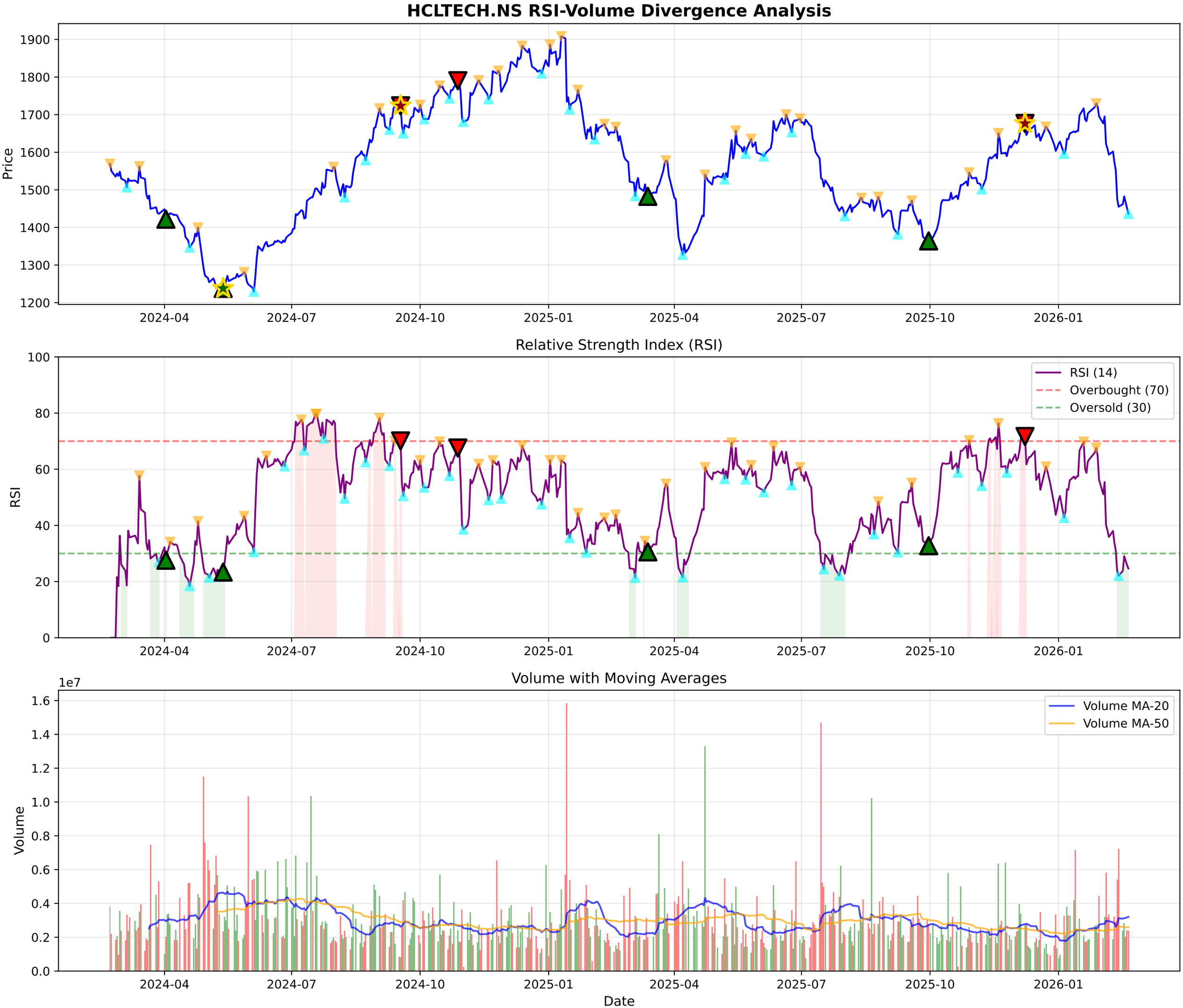
BB Width:	0.2698
ATR:	52.3786
Total Signals:	25
Signal 1:	BB Squeeze at 2026-01-09 00:00:00+05:30 (Price: 1649.45)
Signal 2:	BB Squeeze at 2026-01-12 00:00:00+05:30 (Price: 1655.61)
Signal 3:	BB Squeeze at 2026-01-13 00:00:00+05:30 (Price: 1653.03)
Signal 4:	BB Squeeze at 2026-01-14 00:00:00+05:30 (Price: 1656.50)
Signal 5:	BB Squeeze at 2026-01-15 00:00:00+05:30 (Price: 1656.50)

HCLTECH.NS - Volatility Squeeze Analysis



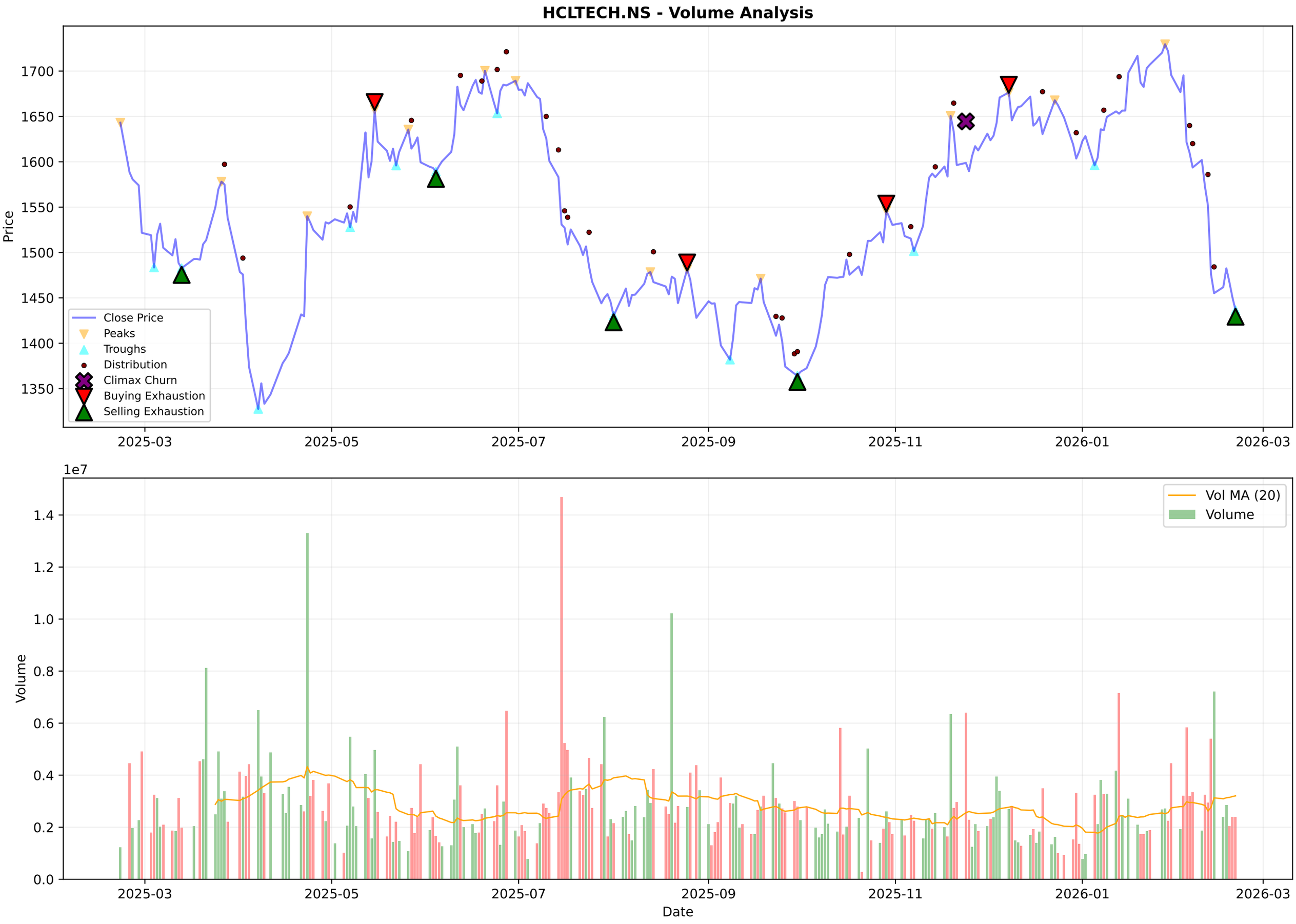
HCLTECH.NS - RSI-Volume Summary

Current RSI:	24.68
Current Volume:	2392491
Volume MA 20:	3206692
Bullish Divergences:	4
Bearish Divergences:	3
Bullish Div 1:	Date: 2025-03-13 00:00:00+05:30, Price: 1482.79
Bullish Div 2:	Date: 2025-09-30 00:00:00+05:30, Price: 1364.25
Bearish Div 1:	Date: 2024-10-28 00:00:00+05:30, Price: 1790.21
Bearish Div 2:	Date: 2025-12-08 00:00:00+05:30, Price: 1676.46


HCLTECH.NS RSI-Volume Divergence Analysis
Price
1900
1800
1700
1600
1500
1400
1300
1200
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e7
Volume
1.6
1.4
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Volume MA-20
Volume MA-50
Date

HCLTECH.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**41 Signals Detected**
:	
2026-02-05 [-]:	Distribution Day
2026-02-06 [-]:	Distribution Day
2026-02-11 [-]:	Distribution Day
2026-02-13 [-]:	Distribution Day
2026-02-20 [+]:	**Selling Exhaustion (Bullish Div)**


HCLTECH.NS - Volume Analysis
Price
1700
1650
1600
1550
1500
1450
1400
1350
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e7
1.4
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Volume
Vol MA (20)
Volume
Date

HCLTECH.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	-0.30
:	
Distribution:	
No Control:	105
Seller Control:	64
Buyer Control:	56
Buyer Strong Control:	2
Seller Strong Control:	1

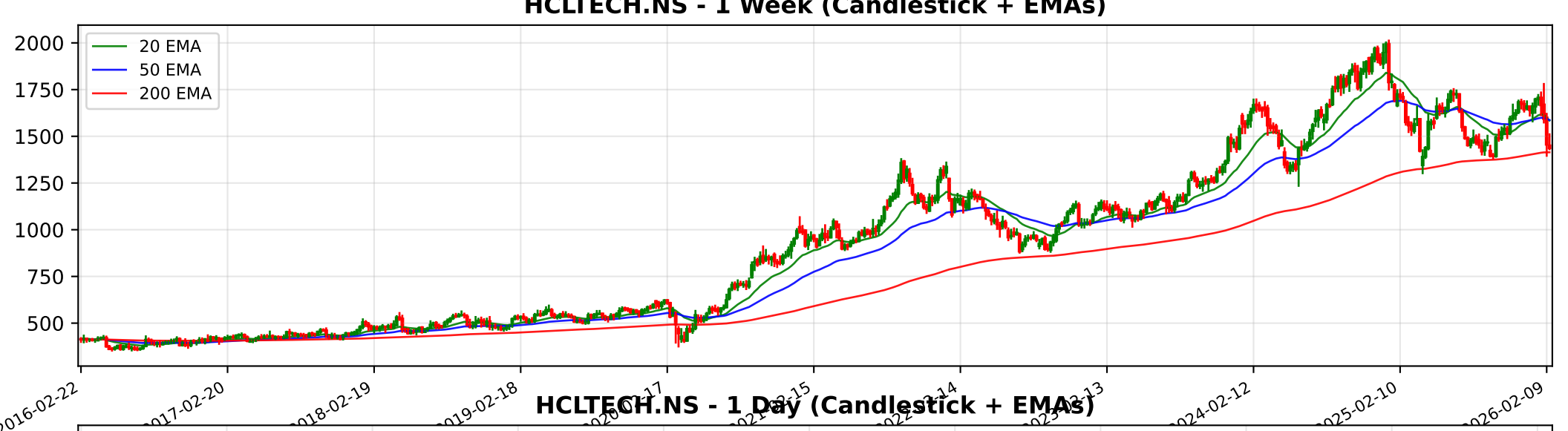
HCLTECH.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
1800
1700
1600
1500
1400
1e7
Volume
1.50
1.25
1.00
0.75
0.50
0.25
0.00
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

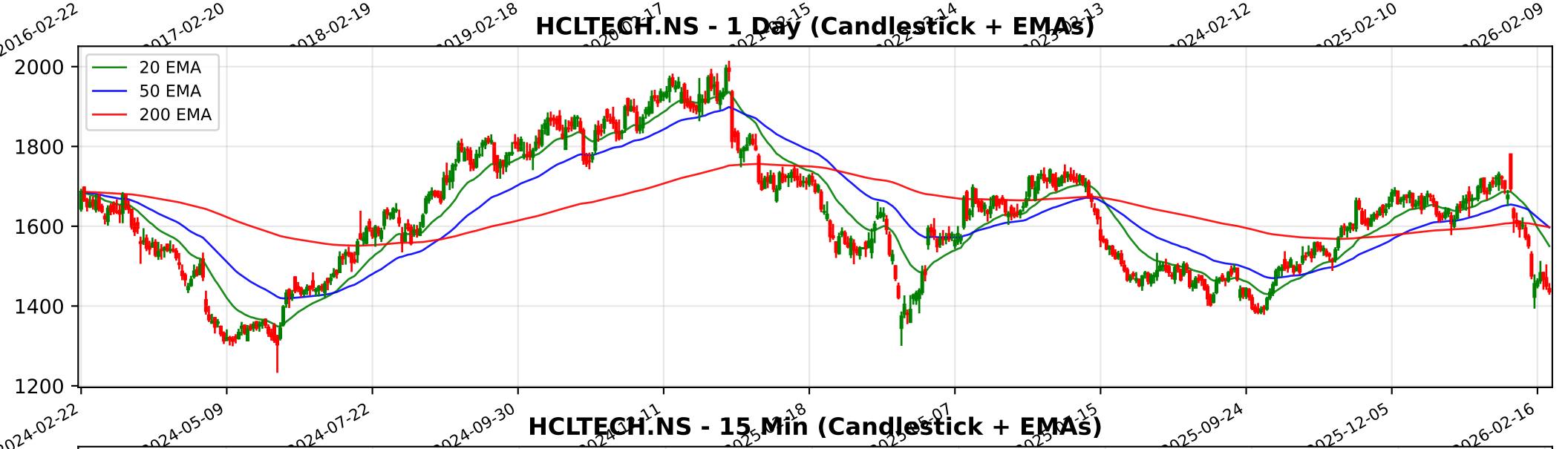
Multi-Timeframe Supertrend Analysis

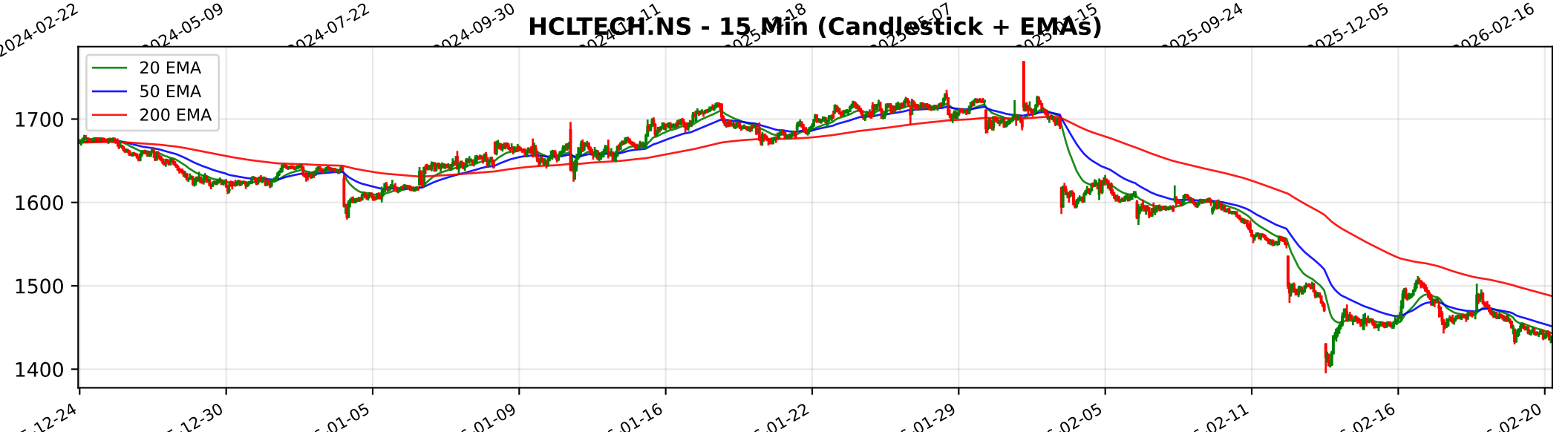
Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	1714.51	1436.5	2026-02-09
1 Day	**DOWNTREND (Sell)**	1590.75	1436.5	2026-02-04
15 Min	**DOWNTREND (Sell)**	1450.84	1436.5	2026-02-19

Multi-Timeframe MACD Analysis

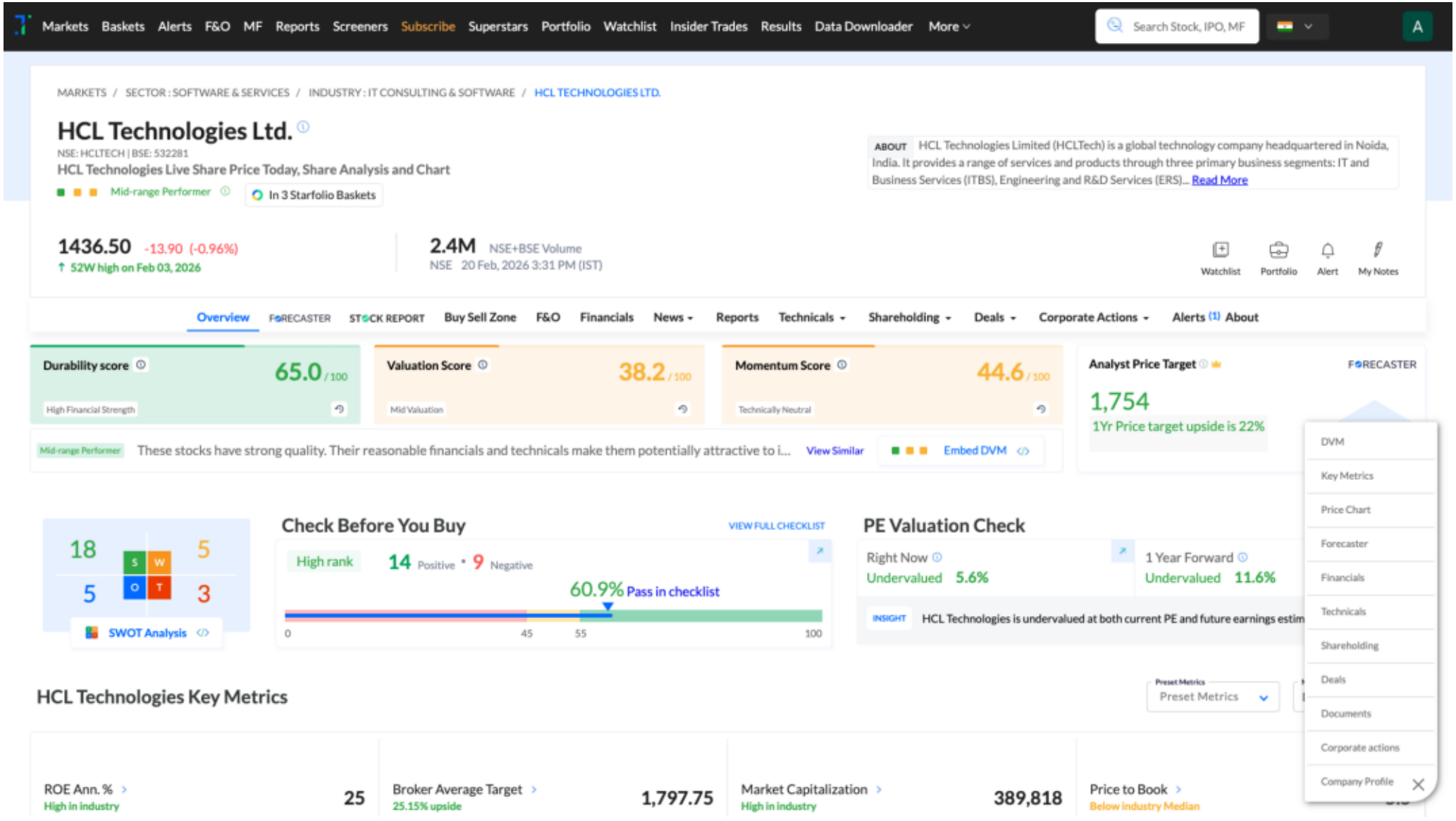
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Strengthening	No Signal
1 Day	**Bearish**	Weakening	No Signal
15 Min	**Bullish**	Weakening	No Signal


HCLTECH.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
2000
1750
1500
1250
1000
750
500
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


HCLTECH.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
2000
1800
1600
1400
1200
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16


HCLTECH.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1700
1600
1500
1400
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - HCLTECH_main



Trendlyne Snapshot - HCLTECH_forecaster

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HCL Technologies Ltd.

NSE: HCLTECH | BSE: 532281

Mid-range Performer

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1436.50 -13.90 (-0.96%)

↑ 52W high on Feb 03, 2026

2.4M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

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HCL Technologies - HCLTECH - stock price prediction, stock forecast, target price, analyst ratings from 44 analysts

HCL Technologies has a share price target of Rs 1754, revenue growth forecast of 10.5%, and profit growth estimate of -1.9% for FY26, based on top 44 analyst calls.

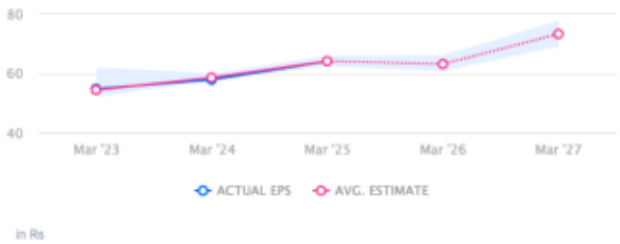
HCL Technologies FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST 12 MONTH ESTIMATE

↑ HIT HCL Technologies's share price target is above the current price, with an upside of 22.1%

EPS FORECAST QUARTER ANNUAL



↓ MISS HCL Technologies's EPS was lower than average estimate 2 times in past 3 years

CONSENSUS RECOMMENDATION 44 ANALYST Recommendations

BUY

The consensus recommendation from 44 analysts for HCL Technologies is BUY